------- BUMPY RIDE -------

3.(C) Boeing first requested USG assistance in May 2006, when then Gulf Air president James Hogan announced plans to replace the carrier's aging fleet with a mix of medium-range and long-range aircraft. Under Hogan's business plan, Boeing would have supplied up to 25 787s and as many as 22 737s. Gulf Air was then still jointly owned by the Governments of Bahrain and Oman and Embassies Manama and Muscat each lobbied their respective host governments on Boeing's behalf. However, Hogan's managerial differences with Gulf Air's board subsequently led to his departure from Gulf Air and his ambitious plan was scrapped.

4.(C) With the Government of Oman's announced withdrawal from Gulf Air in May 2007, Minister of Finance Shaikh Ahmed Bin Mohammed Al Khalifa took personal oversight of Gulf Air's management with a view toward stemming Gulf Air's losses, which stood in excess of USD 1 million per day. Shaikh Ahmed stated that either the Airbus 320 or the Boeing 737 would fit Gulf Air's developing need for high-frequency regional traffic. "The long-term emphasis for the carrier is narrow-body instead of wide-body." Andre Dose, Shaikh Ahmed's pick to replace James Hogan as Gulf Air CEO, soon confirmed to Emboffs that Gulf Air would downsize to an Airbus fleet (reftels).

5.(C) However, Dose's aggressive downsizing drive, which also led to cuts in routes and personnel, brought him into conflict with the Gulf Air board. In July 2007, after just four months on the job, he resigned his post, leaving Deputy CEO Bjorn Naff to succeed him.

6.(C) The Gulf Air board, now controlled entirely by the GOB, made clear to Naff its vision for Gulf Air as a robust, revitalized national carrier. The airline needed to grow rather than shrink. In October 2007, Gulf Air signed an MOU to purchase Boeing Dreamliners. However, the board reversed itself shortly thereafter, citing concern over being able to justify a decision for Boeing to the parliament in the face of a steeply discounted airbus quotation; the Airbus package was reportedly $400 million cheaper.

7.(C) On December 12 Gulf Air delivered bad news to Boeing – the board had selected the Airbus package. Signaling that Boeing's prospects were finished, Gulf Air asked Boeing to return its deposit. Boeing executives promptly informed the Ambassador and Econoff that the deal was lost and Airbus had won. But from Post's perspective the contest remained far from over. Gulf Air's selection still